MACROECONOMICS

MACRO-01

Time: 5 minutes

Outcome: Apply GDP inclusion rules and explain why measured expenditure equals measured income

Difficulty: ●●○ Intermediate

GDP Measurement

THE CORE IDEA

Gross domestic product is the market value of final goods and services produced within a country's borders during a specific period. Current production matters: used goods, stocks, bonds, and transfer payments do not represent newly produced output. Final goods are counted instead of adding intermediate goods separately, because the intermediate value is already included in the final product. The location of production, not the owner's nationality, determines whether output is domestic. Measured expenditure equals measured income because a buyer's spending becomes income to the sellers and workers who produced the output.

HOW TO RECOGNIZE IT

- The good or service was produced during the period being measured.
- Production occurred inside the country's borders, regardless of ownership.
- A final product is distinguished from an input used to make another product.
- A resale, financial trade, or transfer changes ownership but adds no current output.
- One transaction is viewed as both buyer expenditure and seller income.

WATCH OUT

Spending money does not automatically create GDP. A used-car sale, stock purchase, or cash transfer may be a transaction without current production. Also, adding the value of an intermediate input and the final good double counts the input. Imports are excluded because they were produced abroad, even when domestic residents buy them.

WORKED EXAMPLE: CALCULATING GDP

A mill sells flour to a bakery for $50, and the bakery sells the finished bread to households for $120. Final-goods accounting counts $120, not $170, because the flour's value is already embodied in the bread. The households' $120 of expenditure becomes revenue and income for the producers involved. Counting the same production from the expenditure side or the income side therefore gives the same GDP amount.

CHECK YOURSELF

A U.S.-owned factory makes a car in Mexico, while a Japanese-owned factory makes a car in Ohio. Which car belongs in U.S. GDP, and what rule determines the answer?

READY? Return to the game and master this concept.